Unit 8
Pitching and fundraising

Build pitch deck, raising capital, Knowledge of fundraising process.

Cash Flow Challenges

Inventory must be purchased, employees must be trained and paid, and advertising must be paid for before cash is generated from sales.

Capital Investments

The cost of buying real estate, building facilities, and purchasing equipment typically exceeds a firm's ability to provide funds for these needs on its own.

Lengthy Product Development Cycles

Some products are under development for years before they generate earnings. The up-front costs often exceed a firm's ability to fund these activities on its own.

FIGURE 10.1
Three Reasons Start-Ups Need Funding

Three Reasons Start ups Need Funding

Cash Flow Challenges

Capital Investment

Lengthy Product Development Cycle

Sources of Funds

FIGURE 10.2
Sources of Personal Financing

Personal Funds	Friends and Family	Bootstrapping
Involves both financial resources and sweat equity. Sweat equity represents the value of the time and effort that a founder puts into a firm.	Often comes in the form of loans or investments, but can also involve outright gifts, foregone or delayed compensation, or reduced or free rent.	Finding ways to avoid the need for external financing through creativity, ingenuity, thriftiness, cost-cutting, obtaining grants, or any other means.

TABLE 10.1 Examples of Bootstrapping Methods

- Buy used instead of new equipment
- Coordinate purchases with other businesses
- Lease equipment instead of buying
- Obtain payments in advance from customers
- Minimize personal expenses
- Avoid unnecessary expenses, such as lavish office space or furniture
- Buy items cheaply, but prudently, through discount outlets or online auctions such as eBay, rather than at full-price stores
- Share office space or employees with other businesses
- Hire interns

Bootstrapping

- There are many well-known examples of entrepreneurs who bootstrapped to get their companies started. Legend has it that Steve Jobs and partner Steve Wozniak sold a Volkswagen van and a Hewlett-Packard programmable calculator to raise $1,350, which was the initial seed capital for Apple Computer.

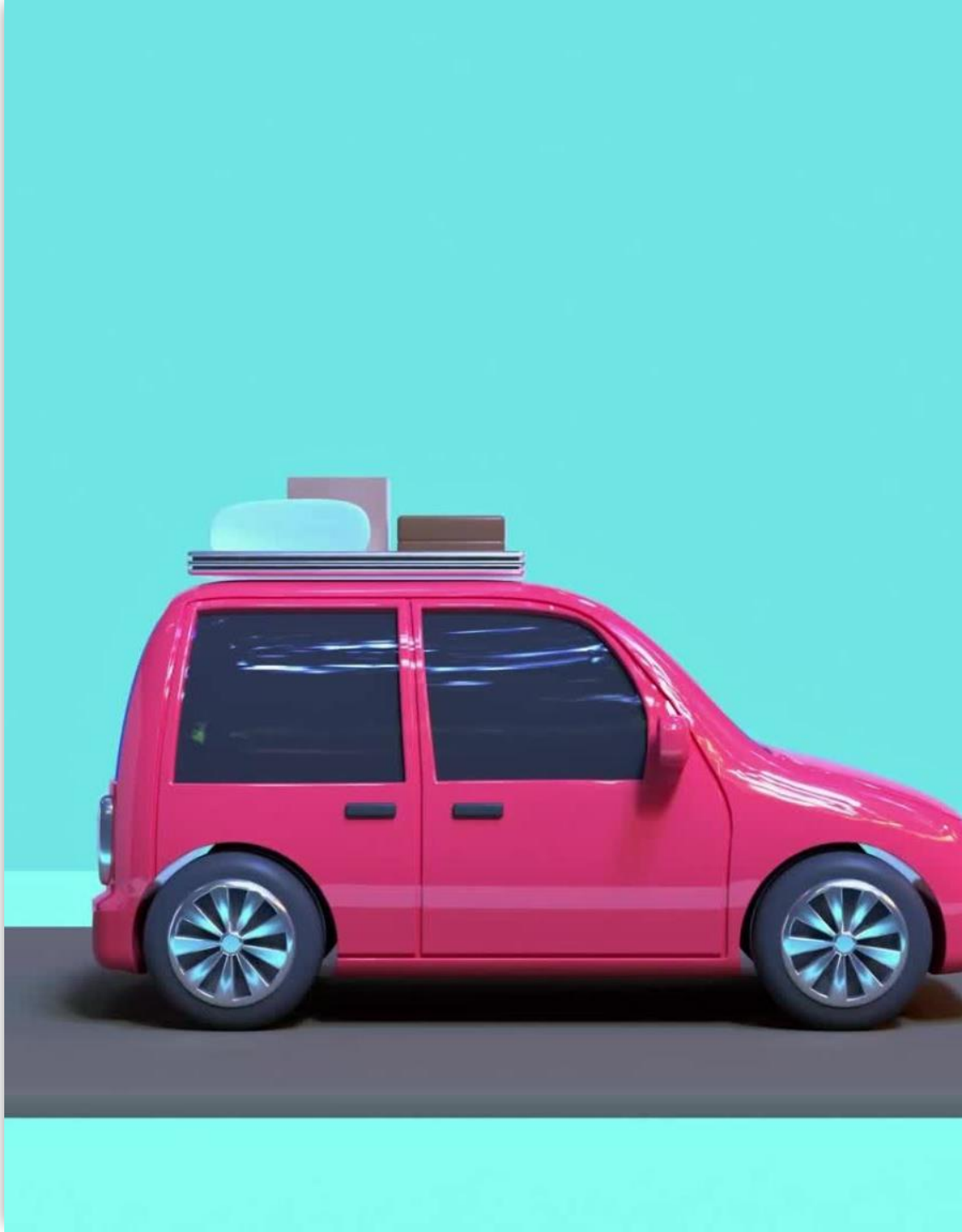
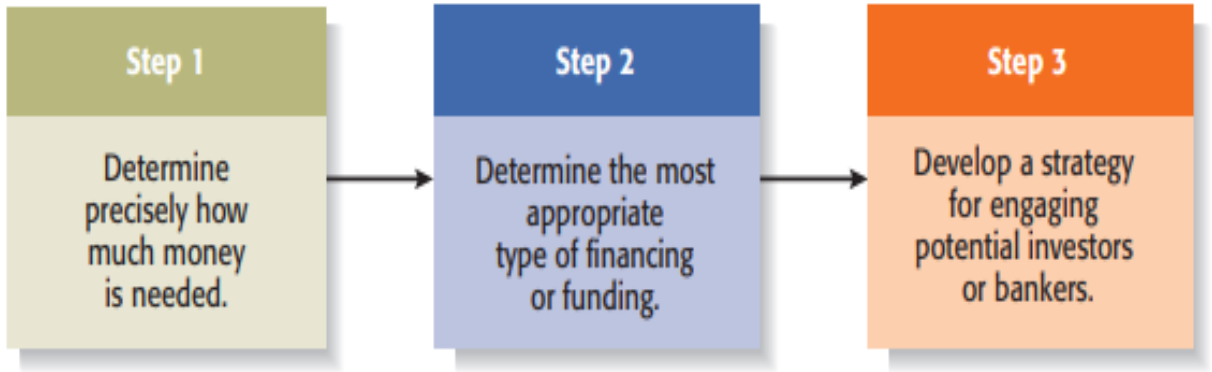


FIGURE 10.3
Preparation for Debt or Equity Financing



Determine the most appropriate type of financing or funding

- Equity and debt financing are the two most common alternatives for raising money.
- Equity financing (or funding) means exchanging partial ownership of a firm, usually in the form of stock, in return for funding.
- Angel investors, private placement, venture capital, and initial public offerings are the most common sources of equity funding
- Equity funding is not a loan—the money that is received is not paid back. Instead, equity investors become partial owners of the firm.
- Some equity investors invest “for the long haul” and are content to receive a return on their investment through dividend payments on their stock.
- More commonly, equity investors have a three- to five-year investment horizon and expect to get their money back, along with a substantial capital gain, through the sale of their stock.
- The stock is typically sold following a liquidity event, which is an occurrence that converts some or all of a company’s stock into cash.
- The three most common liquidity events for a new venture are when it goes public, finds a buyer, or merges with another company.

Equity Financing

- Because of the risks involved, equity investors are very demanding and fund only a small percentage of the business plans they consider.
- An equity investor considers a firm that has a unique business opportunity, high growth potential, a clearly defined niche market, and proven management to be an ideal candidate.
- In contrast, businesses that don’t fit these criteria have a hard time getting equity funding.
- Many entrepreneurs are not familiar with the standards that equity investors apply and get discouraged when they are repeatedly turned down by venture capitalists and angel investors.
- Often, the reason they don’t qualify for venture capital or angel investment isn’t because their business proposal is poor, but because they don’t meet the exacting standards equity investors usually apply.

Equity financing

Advantages

- No repayment obligations
- No additional financial burden
- Increase in expertise
- Reduces financial risk
- Less risky than debt

Disadvantages

- Ownership dilution and lack of entrepreneur control.
- Shared decision making
- Investors returns could be more than debt payment

Debt Financing

- Debt financing is getting a loan.
- The most common sources of debt financing are commercial banks and Small Business Administration (SBA) guaranteed loans.
- In general, banks lend money that must be repaid with interest.
- Banks are not investors. As a result, bankers are interested in minimizing risk, properly collateralizing loans, and repayment, as opposed to return on investment and capital gains.
- The ideal candidate for a bank loan is a firm with a strong cash flow, low leverage, audited financial statements, good management, and a healthy balance sheet.
- A careful review of these criteria demonstrates why it’s difficult for start-ups to receive bank loans. Most start-ups are simply too early in their life cycle to have the set of characteristics bankers want.

Debt financing

Advantages

- The lender has no control over the business operations.
- Interest paid on debt is tax deductible.
- Offers flexible alternatives for collateral and repayment options

Disadvantages

- Higher debt may increase financial risk
- Requirement of collateral

TABLE 10.2 Matching an Entrepreneurial Venture's Characteristics with the Appropriate Form of Financing or Funding

Characteristics of the Venture	Appropriate Source of Financing or Funding
The business has high risk with an uncertain return:	Personal funds, friends, family, and other forms of bootstrapping
Weak cash flow	
High leverage	
Low to moderate growth	
Unproven management	
The business has low risk with a more predictable return:	Debt financing
Strong cash flow	
Low leverage	
Audited financials	
Good management	
Healthy balance sheet	
The business offers a high return:	Equity
Unique business idea	
High growth	
Niche market	
Proven management	

TABLE 10.3 Guidelines for Preparing an Elevator Speech

The elevator speech is a very brief description of your opportunity, product idea, qualifications, and market. Imagine that you step into an elevator in a tall building and a potential investor is already there; you have about 60 seconds to explain your business idea.

Step 1	Describe the opportunity or problem that needs to be solved	20 seconds
Step 2	Describe how your product or service meets the opportunity or solves the problem	20 seconds
Step 3	Describe your qualifications	10 seconds
Step 4	Describe your market	10 seconds
Total		60 seconds

Sources of Equity Funding

Business Angel/Angel Investors

Venture Capital

Initial Public Offerings

TABLE 10.4 Stages (or Rounds) of Venture Capital Funding

Stage or Round	Purpose of the Funding
Seed funding	Investment made very early in a venture's life to fund the development of a prototype and feasibility analysis.
Start-up funding	Investment made to firms exhibiting few if any commercial sales but in which product development and market research are reasonably complete. Management is in place, and the firm has its business model. Funding is needed to start production.
First-stage funding	Funding that occurs when the firm has started commercial production and sales but requires financing to ramp up its production capacity.
Second-stage funding	Funding that occurs when a firm is successfully selling a product but needs to expand both its capacity and its markets.
Mezzanine financing	Investment made in a firm to provide for further expansion or to bridge its financing needs before launching an IPO or before a buyout.
Buyout funding	Funding provided to help one company acquire another.

Sources of Debt Financing

- Commercial Banks
- Small Business Guaranteed Loan Program

Other Sources

- Vendor Credit
- Factoring
- Merchant Cash Advance
- Peer to Peer Lending

Sources of Debt Financing

- Commercial Banks
- Small Business Guaranteed Loan Program

Other Sources of Debt Financing

- **Vendor credit** (also known as trade credit) is when a vendor extends credit to a business in order to allow the business to buy its products and/or services up front but defer payment until later.
- The practice is especially common in retail, but it can be seen in other businesses as well.
- An example of vendor credit is when a retailer orders product from a vendor that ships it on net 30 terms. This means that the retailer has 30 days to submit payment for the product.
- The idea is that the retailer doesn’t have money to pay for the product until it sells it, so the vendor agrees to wait on payment to give the retailer enough time to sell the product and collect the money needed to pay the bill.

Other Sources of Debt Financing

- **Factoring** is a financial transaction whereby a business sells its account receivable to a third party, called a factor, at a discount in exchange for cash.
- **Merchant cash advance.** In a merchant cash advance, the lender provides a business a lump sum of money in exchange for a share of future sales (typically a set percentage of the business's daily credit card sales) that covers the payment amount plus fees. The deals are normally designed for borrowers looking for short-term loans of less than $100,000. The average time for repayment is eight to nine months.

Other Sources of Debt Financing

Peer-to-peer lending is a financial transaction that occurs directly between individuals or “peers.” The loans are facilitated by online firms such as Funding Circle, Lending Club, and Dealstruck.

- The online firms connect businesses with individuals or institutional investors who make the loans.
- In some cases, such as with Dealstruck, the site itself has money to lend. Borrowers generally must make fixed monthly payments.

Creative Sources of Financing and Funding

Crowdfunding

Leasing

Small Business Grant Programs(Local/ Central level Government Grants)

Strategic Partners

Crowdfunding

- Crowdfunding is the practice of funding a project or new venture by raising monetary contributions from a large number of people, typically via the Internet.
- There are two types of crowdfunding sites: rewards-based crowdfunding and equity-based crowdfunding.
- Rewards-based crowdfunding allows entre preneurs to raise money in exchange for some type of amenity or reward.
- The most popular rewards-based crowdfunding sites are Kickstarter, Indiegogo, and RocketHub.
- These sites allow entrepreneurs to create a profile, list their fund-raising goals, and provide an explanation (typically via video) of how the funds will be used. Individuals then pledge money in exchange for some type of amenity, like being one of the first 100 people to obtain the company's prod uct.
- The site takes a small percentage of the funds raised by the individuals for their service. Once a novelty, rewards-based crowdfunding has become a major source of start-up funds.

CrowdFunding

- The second type of crowdfunding is equity-based crowdfunding. Equity based crowdfunding helps businesses raise money by tapping individuals who provide funding in exchange for equity in the business. Three of the more popular equity-based crowdfunding sites are FundersClub, Crowdfunder.com, and Circle Up.

- Note: Go to kickstarter website and watch videos Coolest cooler

Leasing

- A lease is a written agreement in which the owner of a piece of property al lows an individual or business to use the property for a specified period of time in exchange for payments. The major advantage of leasing is that it enables a company to acquire the use of assets with very little or no down payment. Leases for facilities and leases for equipment are the two most common types of leases that entrepreneurial ventures undertake.44 For example, many new businesses lease computers from Dell Inc. or other PC manufacturers. The advantage for the new business is that it can gain access to the computers it needs with very little money invested up-front.

Other Grant Programs

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